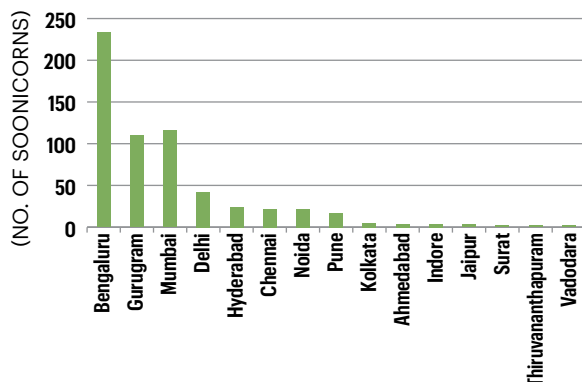


READY FOR THE BIG STAGE

● There are at least 20 cities in India where at least one soonicorn exists

● While metros still lead the pack, other towns are fast emerging as start-up hubs



TOP 15 CITIES WITH SOONICORNS SOURCE TRACXN



NEIHARIKA RAJIV
CO-FOUNDER, GI VENTURES

“Till a few years ago, start-ups were not seen as a viable long-term occupation and were shunned, especially in the non-metros. But now the society has evolved, start-ups in terms of a career choice have also been normalised”

vestors. Plus, there is also a lot of interest from high net-worth individuals from smaller towns because they want to see a start-up ecosystem flourish in their regions.

Getting the required funding for start-ups is often looked upon as a litmus test for such ventures. On this parameter, non-metros have started showing results. For instance, 12 non-metro cities—including Jaipur, Vadodara, Kochi, Indore and Nashik—received at least \$1 million in funding in 2023. “Earlier there were not many start-ups coming from Tier II and III cities, but in the past two to three years, we have seen many of them coming from these locations,” says Apoorva Ranjan Sharma, Co-founder of Venture Catalysts, one of the largest angel networks in India. “The share of angel investors in the non-metros has also gone up. While the total number of investors is close to 4,000 on our platform, around 35-40 per cent of those are from Tier II and III cities,” he adds.

Similarly, Neiharika Rajiv, Co-founder of GI Ventures, a venture capital firm focussed on early-stage start-ups that has invested in a mix of ventures from metro and non-metro cities, says till a few years ago, start-ups were not seen as a viable long-term occupation. “It was shunned, especially in the non-metros. But now the society has evolved and start-ups in terms of a career choice has also been normalised,” she says. Her firm has invested in over 30 start-ups, with almost 60-70 per cent of them having a direct or indirect link with

non-metros—either because they are based in Tier II and III locations, or because they serve non-metros.

Slight Worry, Strong Outlook

“The biggest worry for both founders and investors is to access the right talent because there is still a lot of migration from smaller cities to bigger cities and metros,” says Mariwala, adding that the other big worry is the psychology that how will a venture scale if it’s based in a small town. “Although that thinking is changing fast.”

The past few years have seen the emergence of start-ups in the so-called ‘Bharat’ sectors, which encompass supply chain, agriculture, handicrafts and natural products, among others. Ventures in these sectors can easily be launched from Tier II and III locations as it helps them stay closer to their target audience. “Going ahead, we will see many more sectors coming up from Tier II and III locations,” says Mariwala.

Hence, it is amply clear that the concerns around Tier II and III locations not providing an ample base to launch start-ups are largely unfounded. Going forward, these locations would not only provide a robust base for launching start-ups, but the future would also see more start-ups, incubators, and investor networks setting up shop in ‘Bharat’. **BT**

@ashishrukhaiyar